Sufficient Consideration

Legal sufficiency is different from economic adequacy

A seller knowingly agrees to sell a used bicycle worth £200 for £10. The buyer promises to pay £10 in return. Is the low price, by itself, a reason to say there is no consideration? Normally, no. The law distinguishes the existence of a recognised exchange from whether the exchange is a good deal.

This guide explains that distinction in the law of England and Wales. It is written for university English students with no legal background. Two leading cases show why a small payment, and even chocolate wrappers, can matter legally.

1 Start with the exchange

Consideration is a legally recognised return for a promise. It can consist of an act, a counter-promise or an agreement to refrain from doing something. Here, “consideration” does not mean careful thought or kindness.

In the bicycle example, the seller promises the bicycle in exchange for the buyer’s promise of payment. The promises need not have equal market values. Nor must both parties perform at the same instant.

2 Sufficient does not mean adequate

TERM	THE QUESTION IT ASKS
Sufficient consideration	Is the proposed return something the law recognises as consideration for this promise?
Adequate consideration	Does the return match the economic value of what is received? Is it a fair price?

Core rule: consideration must be sufficient, but need not be adequate. Courts do not normally insist on economic equivalence when deciding whether consideration exists. A small sum may therefore support a promise involving something much more valuable.

3 Do not turn this into a rule about every contract

Sufficient consideration answers one question. It does not prove that every requirement for an enforceable contract is satisfied. Agreement, intention, certainty and any applicable formalities still matter. Fraud, duress, undue influence and applicable legislation may raise separate issues.

Thus, “the price is low” and “the buyer deceived the seller” are different allegations. A bad bargain does not, by itself, establish deception; deception does not become acceptable simply because some money was promised.

Thomas: A Small Annual Payment

Thomas v Thomas (1842) 2 QB 851; 114 ER 330

4 What happened?

Before his death, a husband expressed a wish that his wife should have the home or an alternative sum. After his death, his executors made an agreement with her concerning occupation of the house. She agreed to pay £1 annually towards the ground rent and keep the premises in good repair.

After one executor died, the surviving executor refused the contemplated conveyance and brought proceedings to remove her. The wife sued on the agreement.

5 Who won, and why?

Outcome: the wife succeeded. The court rejected the attempt to defeat her claim for lack of consideration. Her undertakings to pay and maintain the premises supplied a recognised return; the small annual sum did not prevent sufficiency.

Respect for her husband's wishes explained the executors' motive. That motive was not consideration supplied by the wife. The court distinguished the reason for making the arrangement from the obligations she undertook in exchange.

6 Motive and consideration are different

ELEMENT	ROLE IN THE ARRANGEMENT
Wish to honour the husband's intentions	Motive: why the executors wanted to make the arrangement.
Wife's annual payment and repair undertaking	Consideration: the return she undertook to provide.
Low annual amount	An adequacy issue; it does not by itself remove consideration.

Modern example: an owner wants to help a former teacher and agrees to sell her a desk for £1. Gratitude explains the generous price; the agreed £1 is the proposed contractual return. Keep the emotional reason and the exchange separate.

7 Vocabulary that helps you read the case

An **executor** administers a deceased person's estate under a will. A **conveyance** is a legal transfer of an interest in property. To **dispossess** someone is to remove them from possession. These words identify the setting; the lesson concerns the wife's payment and repair obligations.

Avoid describing the arrangement simply as "unfair". A low payment may be deliberately generous. The consideration question asks whether there is a legally recognised return, rather than whether a court would have chosen the same price.

Chappell: Chocolate Wrappers

Chappell & Co Ltd v Nestlé Co Ltd [1960] AC 87
House of Lords | Decided in 1959, reported in 1960

8 The promotion and the dispute

Nestlé offered records, including a recording of “Rockin’ Shoes”, to customers who sent one shilling and sixpence plus three chocolate wrappers. This was a promotion for chocolate sales. The wrappers were discarded after receipt.

Copyright owners and their exclusive licensee challenged the manufacture and sale. The defendants relied on a statutory recording scheme under which royalties depended on the ordinary retail selling price. Their notice stated the money price, omitting the wrappers.

9 Who won, and why?

Outcome: the copyright claimants’ appeal succeeded by a 3-2 majority. The defendants lacked the claimed statutory protection, and the injunction was restored. The majority treated the wrappers as part of the consideration, not merely a qualification to buy. Omitting them mattered to the statutory scheme.

Lord Somervell explained that an item need not lose its status as consideration because the recipient dislikes it or throws it away. His peppercorn illustration conveyed that point. The promotion’s commercial purpose also helped explain why supplying wrappers mattered.

10 Keep the two relationships separate

RELATIONSHIP	WHAT WAS AT ISSUE
Nestlé and customers	A record supplied for money plus three wrappers.
Copyright claimants and defendants	Whether making and selling the recording had the necessary copyright-law protection.

Customers did not buy the copyright, and Nestlé did not buy permission from the copyright claimants for money and wrappers. The contract-law lesson arises from identifying what customers had to provide for the record.

11 Understanding the historical terms

One shilling and sixpence is old British currency, often written “1s. 6d.” It does not mean six American dimes. A **record** is a physical sound recording. **Copyright** protects rights in creative works; a **royalty** is payment for authorised use. An **injunction** is a court order requiring or prohibiting conduct.

A **peppercorn** is a small dried pepper berry. In legal discussion it illustrates a token return. It does not mean that every demanded act is automatically valid consideration: examine the bargain and the relevant legal rules.

A Method for New Problems

12 Value need not be a physical object

Do not reduce sufficiency to “anything tangible has value”. A promise to carry out work can be consideration even before anything physical is delivered. Conversely, an object given as an unrelated gift is not automatically consideration for a later promise.

Ask what was requested as the return and whether it is legally recognised in that setting. Existing duties and past acts have their own rules. The fact that an act took effort, or that an item exists physically, does not settle those questions.

13 Four steps

First: identify the promise that someone wants to enforce.
Second: identify the proposed act, counter-promise or restraint given in exchange.
Third: distinguish legal sufficiency from economic adequacy.
Fourth: check any specific consideration rules and the other contract requirements.

14 Compare these situations

SITUATION	CONSIDERATION ANALYSIS
A knowing agreement to sell a £200 bicycle for £10.	The low price alone does not defeat consideration.
A free promise to give the bicycle, with no agreed return.	A generous intention is not itself consideration.
A promotion requiring money and specified wrappers.	Identify the whole requested exchange, not only the cash.

15 Check your understanding

1. True or false: sufficient consideration must equal market value.
2. Name the wife’s two undertakings in *Thomas*.
3. Did Nestlé buy copyright permission for money and wrappers?
4. Why did throwing the wrappers away not settle their legal status?
5. Does sufficient consideration automatically prove an enforceable contract?

Answers: 1. False: that confuses sufficiency with adequacy. 2. Annual payment and keeping the premises in repair. 3. No: customers supplied money and wrappers for records. 4. Their role in the agreed exchange mattered, not just their usefulness after receipt. 5. No: other requirements and possible grounds of challenge remain.

Authorities: *Thomas v Thomas*, judicial discussion and extracts reproduced in Fong v Shi [2007] SADC 7, paras 34-36; Chappell, reproduced judgment; Chappell, House of Lords order.

Based on the supplied *Sufficient Consideration - Contract Law* lesson, with corrected case details. Examples are simplified. Deeds and separate grounds of recovery require their own analysis.